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WITH AN EXPECTED gross domestic product (GDP) growth rate of between 6% and 6.5%, India is likely to remain the fastest-growing big economy in FY26. It is already set to become the fourth-largest economy this year. This is surely a cause for celebration.

However, that is half the story. Economic growth this fiscal is seen to be much slower than in previous years, even amid expectations of a revival in private consumption, powered by the needs of 1.45 billion Indians, good rains, low inflation and interest rates, as well as personal income tax cuts.

No wonder then that the sentiment in India Inc about growth prospects—despite falling inflation, an accommodative monetary policy and good monsoon rains—is muted. This is reflected in the BT-C Fore Business Confidence Survey of 500 chief executive officers (CEOs) and chief financial officers (CFOs) conducted in the second

quarter below 50 indicates a negative mood. Prior to this, it was the lowest in the December 2021 quarter, after which it was on an upward trajectory as India Inc slowly shrugged off the Covid-19 pandemic lows, except for the occasional dip.

Add to that the big challenge represented by US President Donald Trump's tariff policies that have kept the world on the edge. India, which faces a 25% tariff on exports to the US and an additional 25% "penalty" for purchase of oil from Russia, is expected to see a slowdown in exports as well as gross domestic product (GDP) growth. Before Trump doubled the tariff on India, Minister of State for Finance Pankaj Chaudhary informed the Lok Sabha that around 55% of the total value of India's merchandise exports to the US would be subject to the reciprocal tariff of 25%, effective August 7.

The International Monetary Fund (IMF), in its World Economic Outlook Update released in July, raised its global growth forecast for 2025 by 0.2 percentage points to 3%, but warned that "a rebound in effective tariff rates could lead to weaker growth." An escalation of geopolitical tensions, particularly in West Asia or Ukraine, could introduce new supply shocks to the global economy, it cautioned.

Reserve Bank of India (RBI) Governor Sanjay Malhotra, in the recent bi-monthly monetary policy review, noted that economic growth is robust and in line with earlier projections, though below aspirations. "The uncertainties of tariffs are still evolving," he said. The RBI kept its GDP growth forecast for FY26 unchanged at 6.5%. Chief Economic Advisor (CEA) V. Anantha Nageswaran, too, has said that it is too early to gauge the impact of the US tariff, but added that India has not shown

BUSINESSES THAT RESPONDED TO THE SURVEY SAID THE MOST PRESSING CONCERN IS SLOWING DOMESTIC GROWTH

any signs of slowing down. The latest survey was conducted between July 10 and 25. By then, India Inc's mood had lifted partially because two major conflicts that threatened to become prolonged came to an end, bringing much-needed peace and stability. This included the brief skirmish between India and Pakistan after a terrorist attack in Kashmir and the Israel-Iran-US military conflict. An

quarter. It received largely cautious responses. The Business Confidence Index (BCI) recovered from the red to climb to 50.2 in the June quarter of FY26 (Q1FY26) from a 15-quarter low of 47.7 in the previous quarter.

But the sailing has been far from smooth. The confidence, as measured by the survey, has remained well below the average in recent years. The Q1FY26 reading was, in fact, the second lowest in 14 quarters. A num-

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